

Hearing of the President of the Authority for the Protection of Personal Data, Prof. Pasquale Stanzone
- Draft of the "Annual Law for the Market and Competition 2022" (AS 795)
Senate of the Republic - 9th Commission Industry, Commerce, Tourism, Agriculture, and Agri-food
Production
(September 5, 2023)
- THE VIDEO OF THE HEARING

I thank the Commission for this opportunity for discussion on a text that demonstrates, once again, how profound the mutual implications are between data protection, antitrust regulation, and consumer protection, especially in a context of increasingly marked digitalization of the economy, commercial transactions, and the very services that complement them.

The interrelation between data protection and competition law is, in fact, very close: data is the material with which the digital economy is fueled but, as an expression of a fundamental right, it is subject to a statute of guarantees (first and foremost, the attribution of competencies to an independent authority: Articles 8 of the Charter of Fundamental Rights of the European Union and 16 of the Treaty on the Functioning of the European Union) that cannot be weakened, under penalty of violating such primary European norms.

The draft law concerns data protection, particularly under a dual aspect. On one hand, Article 2 intervenes on the increasingly close relationship between data protection and consumer protection; on the other hand, Article 10, in adapting the internal legal framework to the Digital Markets Act, outlines a regulatory framework dense with interrelations between data protection and the regulation of digital markets.

In particular, the provisions of Article 2 regulate the use of second-generation smart meters by governing access to consumption data through the Integrated Information System. Amending Legislative Decree No. 102 of July 4, 2014, which implements Directive 2012/27/EU, it is specifically provided that:

- Acquirente Unico S.p.A., as the manager of the Integrated Information System - through the Portal for electricity and natural gas consumption established pursuant to Article 1, paragraph 8, of Law No. 205 of December 27, 2017 - shall make the supply meter data available to the final customer or, upon their formal request, to a uniquely designated third party, "in compliance with the regulations on the protection of personal data," in a format that is easily understandable and can be used to compare comparable offers or for the provision of services by such third parties;
- an electronic register shall be established at Acquirente Unico S.p.A. listing the third parties that access the final customer's data, aimed at ensuring, free of charge, the provision to final customers of any information concerning access to data by third parties, including their history and the types of data consulted.

This amendment addresses a topic that has long been submitted to the Authority, within the framework of the establishment, in 2019, by ARERA, of the Consumption Portal through which the final customer, after authentication via SPID, can access data related to the electricity and natural gas supplies they hold, including their historical consumption data and related technical and contractual information. This provision allows the final customer to exercise the right to manage their withdrawal data to identify their "energy footprint."

However, the proposed amendment would require some clarifications and integrations that, beyond the aforementioned obligation to comply with data protection regulations, ensure its conformity already at the definitional stage, even before the application stage.

In particular, the limits of objective and subjective order regarding access to the Portal should be defined, specifying, under the first aspect, the scope of the "third parties" authorized to access the consumption data of final customers, as well as, under the second, the types of data "related to input" and "withdrawal" of electricity and the withdrawal of natural gas. The Consumption Portal contains, in fact, a multitude of personal data (e.g., personal data, POD and PDR, switching practices, contractual data, etc.) whose broad availability to parties other than the data subject could have significant

implications for privacy (consider the widespread phenomenon of fraudulent activation of utilities in the free energy market). Furthermore, the purposes of access should be more specifically identified, with a formulation more circumscribed than that related to the comparison of “comparable offers” or “the provision of services by the aforementioned third parties,” which is inadequate in itself to exclude further purposes (e.g., customer profiling, statistical data processing, etc.) beyond those more strictly connected to the evaluation of the final customer's energy footprint or the comparison of comparable offers pursued by the regulations (see also Directives No. 2019/944/EU and 2012/27/EU).

The expansion of access possibilities to the consumption data of final users by third parties would, in fact, due to its possible implications, require a more analytical assessment of the opportunity to redefine the role of the Consumption Portal within the Integrated Information System, according to a proper balance between the interest in promoting efficiency.

****Energy and the Right to Personal Data Protection****

Article 10, on the other hand, aligns the internal legal framework with Regulation (EU) 2022/1925 (the so-called Digital Markets Act), whose designated authority for enforcement is identified as the Italian Competition Authority. The provision correctly preserves the general supervisory and control powers of the Authority, particularly regarding some of the aspects regulated by the regulation, which are of greater significance for the protection of personal data.

The explicit mention of this safeguard clause, although derivable from the supranational legal framework, is necessary—as emphasized by the Authority in preliminary discussions with the Government—to avoid potential conflicts and overlaps of competencies among the involved Authorities at the domestic level. The need for adequate coordination and, therefore, for fair collaboration between the Competition Authority and the Data Protection Authority has, moreover, been generally affirmed by the Court of Justice of the European Union (CJEU) in its ruling of July 4 (C 252/21), also noting that the former must consult the latter when, in the context of their own investigations, issues affecting data protection arise. The procedural connection thus made possible is, furthermore, all the more necessary to avoid the double jeopardy criticized, in relation to conventional punitive law, by the Court itself.

The importance of data protection aspects in this matter is also demonstrated by the provision in Article 15 of the DMA, concerning the obligation, imposed on the Commission, to transmit to the European Data Protection Board a description (subject to independent audit) of the consumer profiling techniques applied by gatekeepers to the core services they offer.

The safeguard clause referred to in paragraph 8 of Article 10 is, therefore, appropriate, unless it is integrated with reference to Article 6, paragraphs 10, last sentence, and 11. These provisions indeed concern the access that gatekeepers must allow to commercial users and third parties authorized by them, to personal data related to the use made by end users, with their consent, in relation to products or services offered by the commercial user through the platform and to anonymized data related to searches, clicks, and views that search engines must be able to access. The described obligations presuppose, in fact, corresponding duties of fairness in the processing of end users' data, compliance with which must be verifiable by the Authority.

With the suggested integration, Article 10 of the draft law can provide an adequate regulatory response to the challenges posed by the digital economy, placing the collaboration between the Authorities within an essential regulatory framework, susceptible to further clarifications and developments, including subsequent conventional acts.

Thank you.